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Business Incubation and the Minimum Viable Business Concept

Why Developing New Business Requires More Than Testing New Ideas

A strategic perspective for business and innovation leaders

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Executive Perspective

Established organisations are often highly effective at improving their existing businesses. They understand their customers, possess established capabilities and operate management systems designed to deliver predictable results. Yet these strengths can become limitations when organisations attempt to develop fundamentally new business.

New opportunities may require unfamiliar technologies, different customers, alternative revenue models or capabilities that the organisation does not possess. They may also depend on strategic partners whose contributions are essential to creating the intended business.

Many organisations respond by establishing incubators, venture teams or separate business development units. However, creating an incubator does not automatically create new business. The management challenge is to provide entrepreneurial freedom while maintaining strategic direction, access to corporate capabilities and commitment to implementation.

At what point is a new business concept sufficiently developed to make strategic co-creation attractive, without investing too much internally or surrendering too much potential value?

The Minimum Viable Business Concept (MVBC), developed by InnoPlot, offers a perspective on this question. Together with business incubation and the Lean New Business Canvas, it connects business concept design with decisions about capabilities, partners and timing.

1. Recognising the Challenges

Established organisations often struggle to develop opportunities outside their current activities. Their management systems are designed around existing customers, products, operations and financial responsibilities. New business development operates under different conditions: markets may be unfamiliar, customer needs uncertain, technologies unproven and the commercial model different from established practice.

Innovation teams may receive funding to explore ideas but struggle to secure resources for further development. Business units hesitate to release experienced employees. Successful prototypes demonstrate technical feasibility without establishing commercial viability. Some incubators become isolated environments whose concepts the wider organisation cannot adopt; others are controlled so closely that they reproduce existing priorities.

A new business concept may require market access, specialist knowledge, intellectual property protection or operating capabilities that are unavailable internally. Management must decide which capabilities to develop, acquire or access through partners. Each option affects investment, risk, control and the distribution of future value.

The challenge is not simply to select promising ideas, but to develop credible business concepts while making deliberate choices about capabilities, investments, partnerships and organisational commitment.

2. Understanding the Underlying Tensions

Exploiting existing business versus exploring new business

Existing business units can evaluate investments using established customers, performance history and operational assumptions. New ventures operate with greater uncertainty. Applying identical financial criteria

can disadvantage emerging opportunities, while unlimited incubator freedom creates its own risks. Management must balance exploration with strategic discipline.

Entrepreneurial autonomy versus corporate commitment

Incubators need freedom to experiment and challenge assumptions, but depend on the parent organisation for funding, expertise, credibility and resources. Excessive control suppresses entrepreneurship; excessive separation can disconnect opportunities from corporate interests. The practical issue is which decisions can be delegated and which require explicit corporate commitment.

Internal capability development versus external collaboration

Internal development can protect strategic control and value capture. External collaboration can accelerate progress and provide capabilities at lower investment. Neither is automatically preferable, and the choice can differ for every building block within the same business concept.

Protecting value versus attracting strategic partners

Approaching partners too early may weaken the organisation's negotiating position before its own contribution is sufficiently developed. Approaching them too late can leave insufficient opportunity for the partner, or cause avoidable internal investment. Management must develop an attractive strategic position while preserving meaningful opportunities for co-creation.

Experimentation versus business commitment

A technically feasible product or favourable customer response does not prove the viability of the complete business. Leaders must distinguish evidence supporting further exploration from evidence justifying a new level of financial and organisational commitment.

3. Why Conventional Approaches Are Not Always Enough

When incubators focus on ideas rather than business creation

Ideas, experiments and prototypes demonstrate activity, not necessarily the emergence of a viable business. An incubator must develop opportunities with credible routes to implementation through existing units, new units or separate ventures.

When product validation substitutes for business concept development

The Minimum Viable Product (MVP) supports learning about an offering. Yet a product may attract customers while its revenue model, operating arrangements or required capabilities remain unworkable. Business concept development must examine the configuration around the product, not merely the product itself.

When business plans create premature certainty

Detailed financial projections may give an appearance of precision without reducing uncertainty. The alternative is not to abandon planning, but to progressively test the critical assumptions of alternative business scenarios before committing to implementation.

When partnerships are treated as a separate activity

Potential partners can shape the business concept by contributing essential capabilities. Their possible roles should therefore be considered during scenario development, even if the organisation does not invite them into formal co-creation until a later, strategically chosen moment.

4. Rethinking the Management Approach

Three complementary elements connect the organisational and strategic dimensions of new business development. The Business Incubator provides the organisational capability; the Lean New Business Canvas helps design alternative scenarios; and the MVBC supports decisions about building-block development and the timing of strategic co-creation.

Shift 1: From an innovation incubator to a business creation capability

An incubator needs a mandate to pursue opportunities beyond existing business, an entrepreneurial multidisciplinary team, clear investment boundaries and explicit governance. Its task is not to accommodate every idea but to develop opportunities requiring new business models, capabilities or organisational configurations.

Three connected activities support this task. Ideation identifies opportunities worth exploring. Hatchery develops and tests alternative business scenarios through stakeholder feedback, simulations and experiments. Venturing develops a selected concept towards implementation. These are not rigid gates: learning can lead to revisiting assumptions, changing scenarios or stopping development.

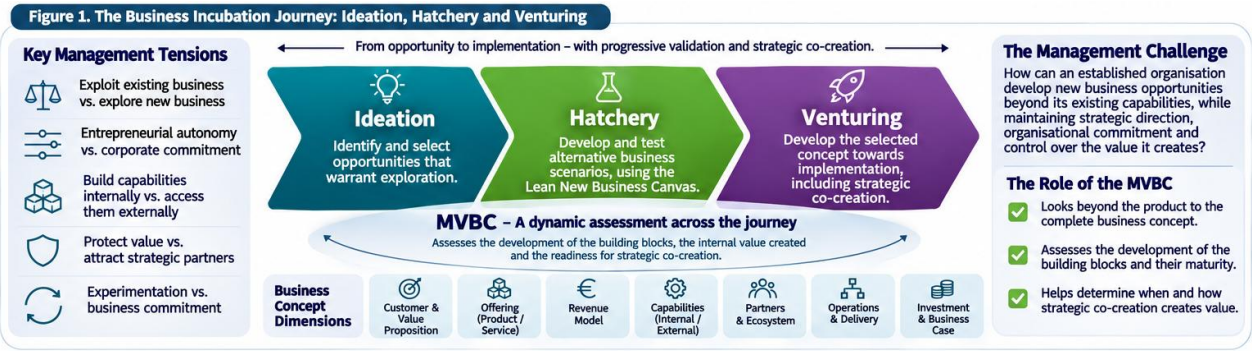


Figure 1. The Business Incubation Journey: Ideation, Hatchery and Venturing. The dimensions shown are illustrative business concept dimensions, not the six MVBC building-block categories.

Shift 2: From individual ideas to alternative business scenarios

An attractive idea should not automatically become the preferred business concept. Different customers, offerings, revenue models, capabilities and partnerships can lead to different business scenarios.

The InnoPlot Lean New Business Canvas brings together Opportunity, Solution, Building Blocks, Potential Value Proposition, Unfair Advantage, Channel, Scoped Market, Cost Structure and Value Structure. Its explicit Building Blocks component helps identify the capabilities required to realise a scenario. During the Hatchery, employees from different functions and other stakeholders challenge these assumptions through feedback, simulations and targeted experiments.

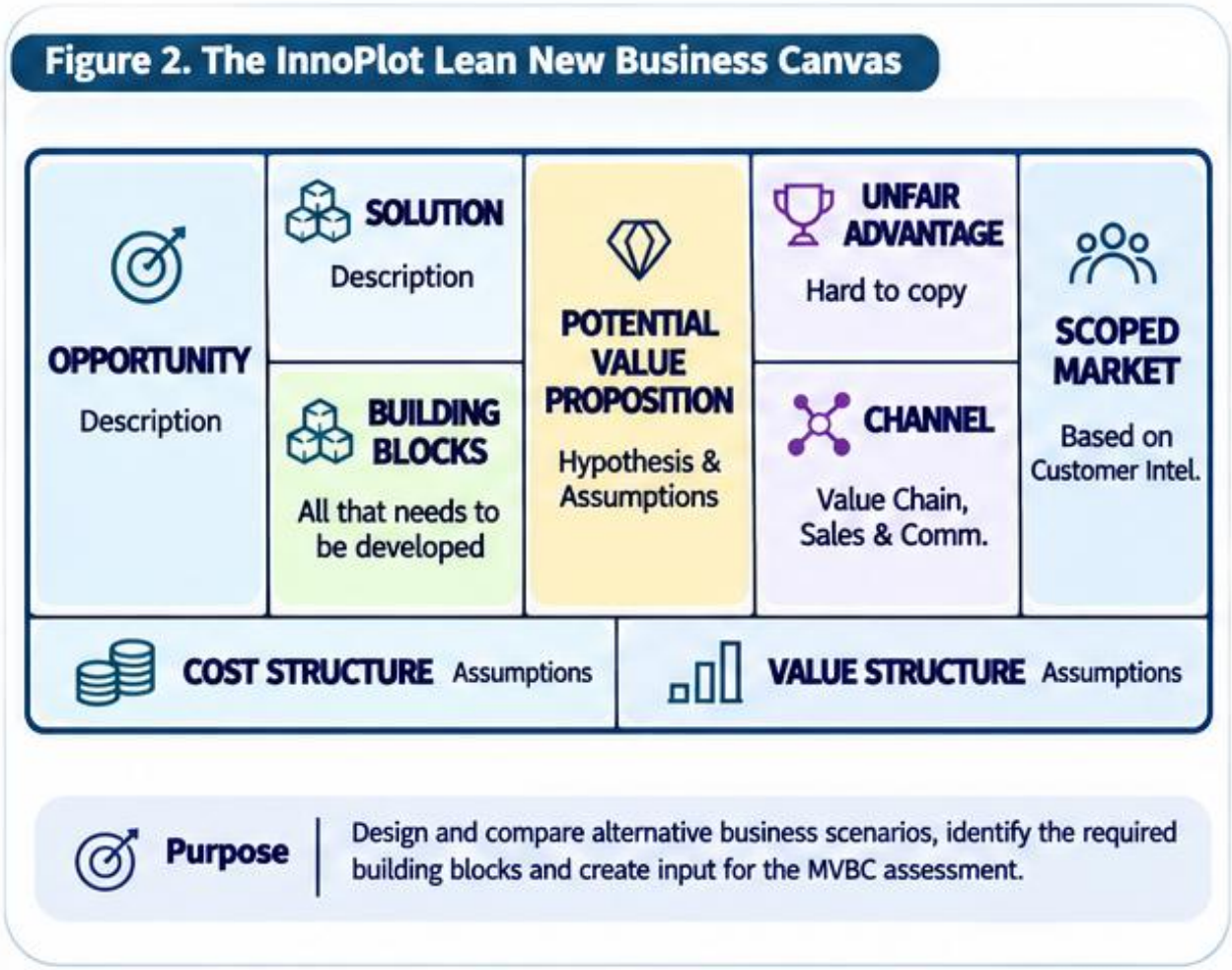


Figure 2. InnoPlot Lean New Business Canvas. The canvas supports the design and comparison of alternative business scenarios.

Shift 3: From product validation to the Minimum Viable Business Concept

The MVBC differs from an MVP. While an MVP supports learning about an offering, the MVBC supports management decisions about the development of a business concept and the appropriate moment to invite strategic partners into co-creation.

The Lean New Business Canvas identifies what the proposed business requires. The MVBC translates these requirements into six interconnected development categories: Commerce, Value Proposition, Building Knowledge, Protection, Value Accounting and Partnerships. These categories can be made concrete through activities such as market scoping, customer intelligence, product and application development, technology and knowledge access, regulatory and intellectual property work, financial and sustainability assessments, and partner selection.

A fundamental principle is that each building block has its own development strategy and starting point. Some may be developed entirely internally, others entirely externally, and others jointly or through different arrangements over time. These are deliberate choices, not prescribed stages. The six categories provide a structure for analysis rather than a universal checklist.

The MVBC timeline: development responsibility and timing

The timeline makes these decisions visible. A blank period means that no development is taking place for that building block, internally or externally. During the initial internal creation period, the organisation develops only the building blocks it has chosen to develop itself. Other blocks may remain untouched.

The MVBC assessment window helps management judge when the internally developed concept provides a sufficiently credible and attractive basis for inviting partners. Before the selected co-creation moment, no external contribution or development takes place within the depicted development programme.

From that moment, external partners may contribute or develop entire building blocks, jointly develop others, or complement capabilities that remain internal. No block must first be developed internally; equally, no block is required to involve partners afterwards. Internal development may continue alongside external and joint work. The assessment window is a strategic judgement, not a fixed maturity threshold or compulsory gate.

The MVBC does not prescribe how much of every building block must be developed internally. It helps determine which capabilities to develop, which to leave for partners, and when to begin strategic co-creation.

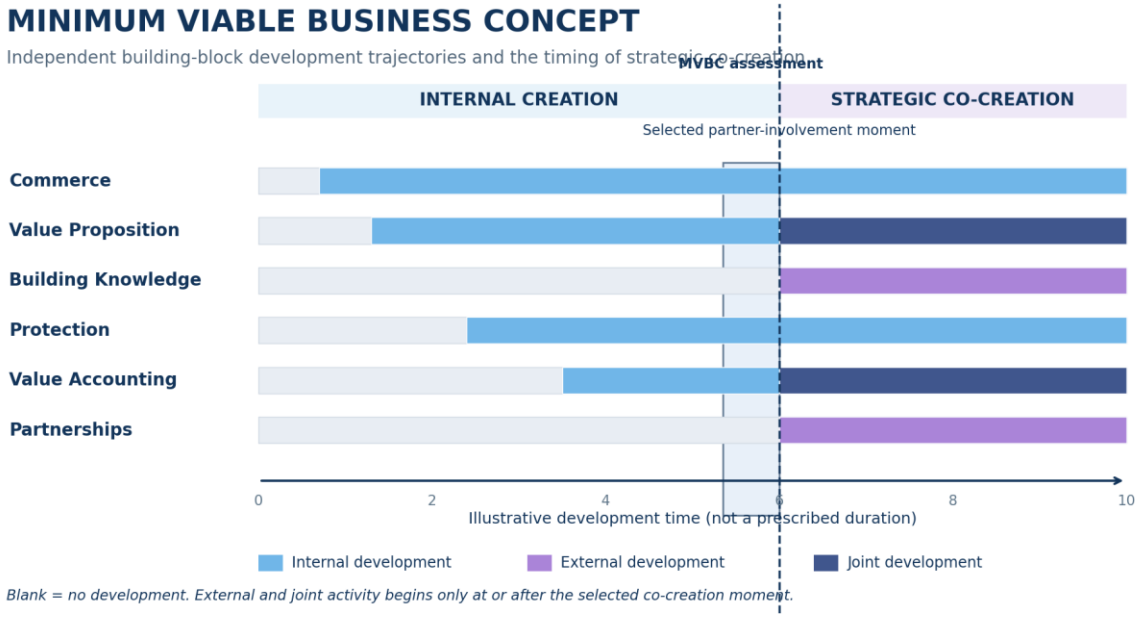


Figure 3. Illustrative MVBC development trajectories. Blank means no activity. External or joint development begins only at or after the selected co-creation moment; each building block can have a different start and development strategy.

Shift 4: From finding partners to timing strategic co-creation

Identifying a partner and deciding when to invite that partner into co-creation are different decisions. Some partners possess essential capabilities but need not contribute before the MVBC moment; other capabilities may remain internal throughout. The organisation should evaluate its own developed value, the capabilities partners can bring, investment risks and the benefits available to both parties.

The objective is not to delay collaboration for its own sake. It is to establish an attractive and credible basis for joint value creation, supported by appropriate agreements and interpersonal trust.

Shift 5: From incubation success to deliberate business ownership

Successful incubation eventually raises the question of where the new business should reside. Some concepts fit an existing business unit; others require a new unit or a separate venture with partners. The incubator should develop a credible route towards ownership, governance and scaling rather than postpone this decision until launch.

5. Implications for Management

Business incubation should be managed as an organisational capability with a clear mandate, adequate resources and governance suited to uncertainty. Leaders should distinguish exploration decisions from implementation commitments, encourage alternative scenarios and examine the capabilities required for each.

The Lean New Business Canvas supports scenario design. The MVBC supports the allocation and timing of building-block development. These tools work together, but they are not interchangeable. Managers should explicitly determine which capabilities to develop internally, which to leave undeveloped until partner involvement and which to develop jointly after the chosen moment.

Overarching incubator management includes stakeholder communication, monitoring strategic fit and business development progress, and managing the incubator team, portfolio, governance and partnerships. These are responsibilities across the building blocks, not a seventh block.

Employees across commercial, technical, operational and support functions should participate in shaping scenarios and challenging assumptions before major commitments are made. Their knowledge can reveal dependencies that an isolated incubator team would miss.

An illustrative management situation

Consider an industrial equipment manufacturer exploring a service-based business combining performance monitoring, predictive maintenance and performance-based commercial agreements. It has engineering capabilities and customer relationships, but lacks continuous service operations, specialist data services and possibly financing arrangements.

A prototype performs well and customers express interest, yet the business remains uncertain. Who will deliver the service? How will risks be allocated? Which commercial arrangements will customers accept? The incubator therefore develops several scenarios using the Lean New Business Canvas: monitoring as a product feature, a subscription service, and a performance-based service model.

The MVBC assessment identifies different development paths. Commerce and Protection might be developed internally from an early stage. Specialist knowledge or certain partnership capabilities may remain entirely untouched until the selected co-creation moment, when external partners can bring them into the venture. Other blocks might continue internally or become jointly developed.

The organisation thus avoids assuming that every capability must first be built internally. It selects a collaboration moment on the basis of its developed contribution, remaining dependencies and the attractiveness of co-creation. The resulting business may be established within a new unit or a separate venture. The achievement is not just a validated product but a credible route to business implementation.

This is an illustrative scenario, not a documented company case.

6. Questions for the Leadership Team

1. Have we created an incubator with a mandate to develop new business, or mainly a place for generating ideas and testing products?

2. Do we explore alternative business scenarios and identify the building blocks required before committing to a preferred direction?

3. For each building block, have we deliberately chosen when development begins, who develops it and when strategic partners should be invited into co-creation?

4. Have we established the governance, employee involvement and corporate commitment needed to turn incubation into sustainable new business?

Closing Perspective

The purpose of incubation is not simply to discover promising ideas. It is to develop credible business opportunities while making deliberate choices about capabilities, investment, partnerships and organisational commitment.

The Lean New Business Canvas helps explore what the business could become. The MVBC helps management decide what must be developed, by whom and when strategic co-creation becomes attractive.

The real achievement of incubation is not a validated idea, but a business concept sufficiently developed to attract the capabilities, partners and commitments needed to create new value.

About the Author

Koen Klokgieters is the founder of InnoPlot and works at the intersection of strategy, innovation, technology and organisational transformation. His experience combines corporate leadership, consulting, entrepreneurship and education. InnoPlot | Business & Technology Innovation.

Conceptual Foundations

The article draws on established thinking about exploration and exploitation, organisational ambidexterity, entrepreneurial experimentation and business model development. The Business Incubator approach, Lean New Business Canvas and MVBC are presented as InnoPlot-developed management approaches, not universally validated models. The specific timeline logic and the illustrative building-block trajectories are interpretations of the InnoPlot approach for this article.

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